

ROYAL GOLD INC RGLD

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by

beep899

		2026	2027
Price:	226.00	EPS	0 0
Shares Out. (in M):	85,400	P/E	0 0
Market Cap (in \$M):	18,873	P/FCF	0 0
Net Debt (in \$M):	0	EBIT	0 0
TEV (in \$M):	0	TEV/EBIT	0 0

Description

Royal Gold (RGLD) is a ~US19B market cap acquirer and manager of precious metal streams and royalties (a royalty company). Royalty companies stand out in the precious metal space for benefiting from the upside in gold and silver, but without being saddled with the operating costs to get the metal out of the ground and the often unpleasant upside cost surprises of that effort. Royalty companies also benefit from "production" being drawn from a large portfolio of mines. This is far better than junior miners which often have one or just a few mines and even better than senior producers which are themselves diversified, but not anywhere near to the degree a royalty company.

Management has recently (March investor day) provided 5-year GEO (gold equivalent ounce) guidance that has estimated GEOs contracted to RGLD in 2026 of ~380k, rising to ~450k across the next five years. Even if gold stayed at its current price of ~\$4,500 I see the equity rising ~50% by 2028 (third year of their five year guidance) to ~\$340. Should gold simply return to its recent high of \$5,500 I see the equity rising ~84% by 2028, or about \$415. More detail, including a sensitivity table to the price of gold can be found later in the report. Like all gold-linked equities, the greatest upside comes should gold trade to new all time highs, which not only drives higher earnings, but is also likely to drive multiple expansion. I use 30x p/e for my fair value, but 35x is very common for a large royalty company when all is going in its favor.

In 2025, Royal Gold revenues were split roughly 2/3 streaming agreements and 1/3 royalty agreements. In 2025, 76% of revenue was from gold, 12% from silver, 9% from copper and 3% of other metals. I like that RGLD is levered mostly to gold and a full 88% to gold and silver. Thus, one is buying exposure overwhelmingly to precious metals. I do not like it when royalty cos (or miners) intentionally diversify into, for instance, copper. A little base metal is fine, and it can often be a byproduct (or vice versa) so one ends up with it by default. However, the precious metal royalty companies deserve one multiple, a higher one, while copper and base metals deserve another, and it is much lower. Base metals only dilute fair value and push away investors seeking precious metal exposure.

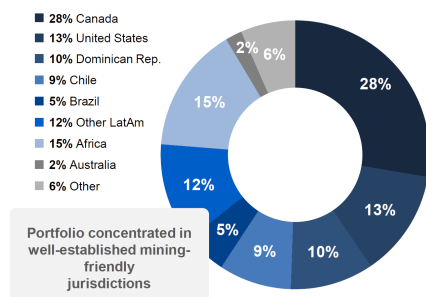
Streams are agreements that provide, in exchange for an upfront deposit payment, the right to purchase all or a portion of one or more metals typically at a predetermined fixed price or sometimes a percentage of the sale price. Royalty agreements typically provide a percentage of production of the agreed upon metal in return for the upfront payment. These agreements, struck typically with mining companies in the process of developing a mine(s) provide the miner with some of the capital required to build the mine, without adding debt to the balance sheet. Both are high margin, but royalty agreements are typically someone better.

The royalty company (again, typically a mix of streams and royalties) takes risk that the mine will become operational at the forecasted scale, and price risk on the metals involved. Though it depends on the specific agreement, royalty companies also benefit from any upside to production that is driven by further exploration on the property (or sometimes specific slice of a property).

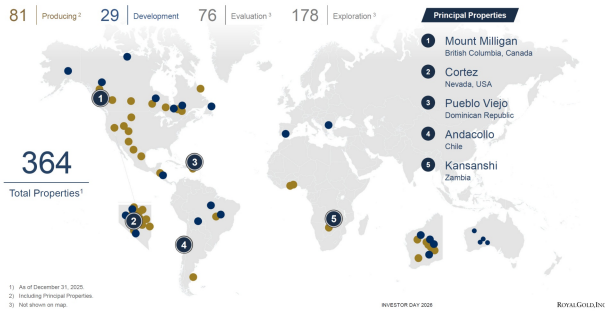
As of 2025, RGLD owns streaming interests relating to 18 production stage properties and 5 development stage properties and royalty interests in 63 production stage properties, 24 development stage properties and 254 exploration stage properties (76 of the exploration properties are being actively engaged by operators in the search for reserves). It is likely a material number of the exploration properties will never become mines.

Nothing is ever perfect in terms of jurisdiction exposure, but RGLD is levered to generally safer political jurisdictions. Eighty-six percent of revenue is derived from North America (including Mexico & Caribbean), South/Central America and Australia. Only 14% is Europe or Africa.

Geographically Diversified by Asset NAV^{1,2}



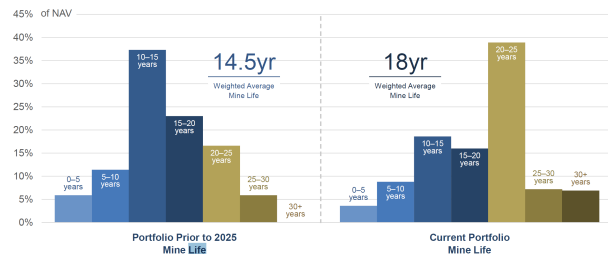
Global Portfolio in Mining-Friendly Jurisdictions



Royal Gold's portfolio has a long mine life, currently 18 years when recent transactions are included. These include the \$4.1B acquisition of Sandstrom/Horizon royalty company, the \$1B acquisition of the Kansanshi royalty, and \$200m for the Warintza royalty.

Enhanced Portfolio Duration

Shift toward longer-life portfolio driven by disciplined M&A and organic developments



In 2025, company EBITDA margin was 78%. The recycling of cash flow from this high margin business into purchases of new streams and royalties is the driver of ongoing growth. In a real way, RGLD's purchases of additional streams/royalties, though part of its financing cash flows are essentially its capex. Certainly, in most cases, these investments by RGLD flow through to the seller's capex line as they build their mine. As shareholders we actually want to see the company always finding new and attractive deals.

In the case of deals with developers (mines using proceeds from their deal with RGLD to finance mine construction), Royal Gold fully shares in the risk of taking a plot of earth from construction to production, the risk of reaching production objectives, and then gold price risk. Once funded, mines that put a shovel in the earth typically achieve production, granted with some degree of delay from plan, and often with a slower ramp up after first pour, and then with some degradation from plan in terms of what becomes full production.

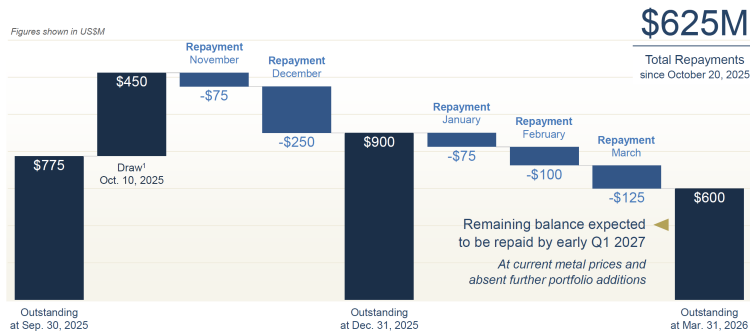
In the case of exploration deals, the risk is much higher and royalty companies place a wide array of small bets in hopes that a few of them reach production. Many of these bets will never pay off. But it makes sense to participate. You get to see great deal flow and be very selective about where and with whom you place bets. I myself own a small cadre of exploration names some with only early prefeasibility studies and sometimes with just a growing collection of impressive drill holes. (Unlike RGLD, I would not likely hold pure explorers through to mine construction and typically exit in the first hump of the Lasso Curve; that is, should I be fortunate enough to get such a return.)

However, as noted the one thing RGLD does not share in is operational expenses, which often rise well beyond plan. They also generally avoid problems with political risk involving government production taxes.

The high margins, especially combined with stable and/or rising gold prices allow RGLD to pay off debt and be ready to execute additional stream/royalty purchases. Driven by 2025's active slate of acquisitions, draw on credit peaked at \$1.225B in Oct, 2025. As of end of Q1, 2026 it is already down to \$600m and management's objective is to have this paid off by mid-2027. This will leave RGLD reloaded on liquidity and financial ready make additional acquisitions.

Rapid Debt Repayment

Strengthens balance sheet and provides liquidity



1) The October 10th, 2025 draw was for the close of the [Santitas](#) Gold and Horizon Copper transaction.

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Below is a table of RGLD earnings sensitivity to the gold price. I'm then calculating fair value based on 30 p/e. The more mature royalty names trade 25x to 35x p/e. Often the Street and managements will make arguments about price to NAV. I'm not saying NAV is irrelevant, but *if* a miner or royalty company has extended mine life, which RGLD does, I move on from NAV. In the case of a miner (or royalty co) with a short mine-life than I would take the time to calculate annual cash flows and discount at various rates in an attempt to calculate a range of terminal values and completely ignore P/E. With a young royalty name with only a few cash generating properties, but a large portfolio in developers and/or explorers, then I will toggle back to some calculation of NAV with a very high discount rate.

However, as noted, RGLD is a large (third largest in the space behind WPM and FNV), mature royalty/streamer with a very long mine life. The stock price is going to fluctuate in high correlation with the price of gold and the NAV starts to become less relevant, at least to me. I care what the earnings and cash flow are going to be this year and in the next few years *so long as* the contracted GEOs (gold equivalent ounces) payable to RGLD are likely to continue flat to trending up.

Management's guidance outlook for GEOs is as follows:

Long-Term Outlook

Expansions and new production are expected to drive longer-term growth



1) 2026 Range represents 2026 Guidance expressed in GEOs for comparison purposes only. 2026 Range is risk-adjusted by individual asset. 5 Year Outlook and Additional Long-Term Potential are based on the mid-points of operator guidance, production estimates provided by operators at steady state, and Royal Gold estimates, and are not risk-adjusted. 2026 Range provided for comparison purposes, and when comparing actual performance to guidance during 2026, we will refer only to sales volume by metal and not to a GEO range.

2) GEOs calculated at \$4,000/oz Au, \$550/oz Ag, \$50/lb Cu, \$7.30/lb Ni, \$1.35/lb Zn, \$0.91/lb Pb; 2026 Range uses mid-point of metal unit ranges for 2026 Guidance.

3) 5 Year Outlook includes expected stream rate step downs at Wassa and Rainy River (silver stream only).

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In yellow below I have highlighted a likely earnings progression based on that guidance and FV based on a 30 p/e. I'm assuming that regardless of gold's next move in price, that over the next few years it begins to trend up again.

EARNINGS PER SHARE & FV

	2026e	2027e	2028e	2029e	2030e
GEOS	380,000	395,000	410,000	425,000	440,000

Gold Price

\$ 4,000	\$ 9.12	\$ 9.70	\$ 10.07	\$ 10.44	\$ 10.81
\$ 4,500	\$ 10.29	\$ 10.92	\$ 11.33	\$ 11.75	\$ 12.16
\$ 5,000	\$ 11.46	\$ 12.13	\$ 12.59	\$ 13.05	\$ 13.51
\$ 5,500	\$ 12.62	\$ 13.34	\$ 13.85	\$ 14.36	\$ 14.86
\$ 6,000	\$ 13.79	\$ 14.56	\$ 15.11	\$ 15.66	\$ 16.22

FV at 30 p/e

\$ 4,000	\$ 273.64	\$ 291.14	\$ 302.20	\$ 313.25	\$ 324.31
\$ 4,500	\$ 308.66	\$ 327.54	\$ 339.97	\$ 352.41	\$ 364.85
\$ 5,000	\$ 343.67	\$ 363.93	\$ 377.75	\$ 391.57	\$ 405.39
\$ 5,500	\$ 378.68	\$ 400.32	\$ 415.52	\$ 430.73	\$ 445.93
\$ 6,000	\$ 413.69	\$ 436.71	\$ 453.30	\$ 469.88	\$ 486.47

I've written up a number of gold-related names in the past couple years. In each I note that while the names can work with a sideways trending gold price *if* the company is growing its production, or in this case, contacted GEOs; the truth is that owning almost any mine-

related gold name is a bet on the gold price going up. With that in mind...

Gold peaked January 28 of this year at ~\$5,500 oz and has corrected as deep as ~\$4100, though it barely touched that level during our overnight trading before bouncing up. Since then the gold price has been trending sideways around \$4,500. I can't say how deep the correction needs to go, though I would not be surprised if it needs to retag and revisit \$4,100 in a more sustained way. Of course, again, I truly don't know. It's kind of its own separate discussion with a lot of guessing involved.

In terms of flows, hot money is clearly after A.I. related trades. In terms of central bank buying, the rise in oil has had a few lower tier banks (e.g. Turkey) selling some gold due to a need to raise funds. The end of one or both of these trends could bring money back to gold, which I believe will happen one way or another at some point. Why? Because the reasons to own gold have not dissipated in the least. In my mind, the top of the list is the increasingly unstable debt loads in developed countries and an incremental desire of holders of US debt, and really debt of all developed nations, to seek safety in something that, rather than risk a return on their capital (T-bond + interest), offers some stability in terms of return of capital. It also is increasingly attractive for central banks to not be in US debt given the U.S.'s increasing propensity to lean on sanctions. Hardly will central banks run completely from US debt. I am not saying that. However, I believe both US friend and foe alike has reason to try to decrease exposure to at least our long bonds.

However, there are reasons to reduce all exposure to US debt period. Why wait to find out that the US has decided you are the enemy and sanction you? This concern was meaningfully highlighted given the confiscation of Russian assets at the onset of the Ukraine war.

However, just today Bessent was out threatening Oman if they work with Iran on a tolling agreement for SoH. I'm sure both the Russian sanction and the Oman threat are well deserved from the US government's standpoint. I'm not here to debate it. It is what it is. And what it is is a clear message to lower one's exposure to US gov't debt if one can.

There are of course many risks to the gold price, but one that I find hard and fast is if our own central bank was to enter a rate hiking cycle. This concern I believe also is keeping a lid on gold at the moment. Even in the 1970's, during an amazing gold bull market, the 1973-74 rate hike cycle slammed gold. However, gold emerged out of that downturn to increase many times over before peaking in 1980. The recent US rate hike cycle in 2022 also pushed down the gold price until the end of the rate hike cycle could be seen.

Perhaps this is not your idea of an investment right now. If so, I hope you'll add RGLD to your idea generation list along with the two other gold related names I have written up over the past couple of years. Specifically, I call out miner Alamos Gold (AGI), which has one of the strongest growth profiles among mid to senior size miners and another interesting royalty name, Triple Flag (TFPM). Part of taking advantage of the gold cycle is being prepared and not having to chase to get in. I feel these three names offer a portfolio manager initial exposure, but with less of the risks associated with smaller producers, developers and explorers.

RISKS

Declining gold prices. Good candidates to drive gold down include the Fed increasing short end interest rates, and also recessions in general. (Gold has declined in past recessions but typically found a bottom halfway through the bear market.) Inability of the mining companies with which RGLD is contracted to meet their forecasted gold production. Inability of RGLD to identify and make sufficient future streaming and royalty deals.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Management meeting their guidance for contracted ounces over the coming years and the gold price remaining stable and hopefully rising to and even above its most recent highs. Additional deals, which will happen, can add upside to production.

Messages

Subject

Valn

Entry

05/31/2026 08:26 AM

Member

wfc

Thanks for the post. A few questions:

-Why do you think this is cheaper than the other royalty companies?

-How would you compare this against TFPM?

-wfc